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How is India expected to perform on the economic front in 2025?

The big question on everyone's mind is, will the growth that we have seen in the first half of FY25 slow down? How much of this is a structural problem? How much of this is because of cyclical issues? We believe that almost all of this slowdown is because of cyclical issues. Trend growth remains at about 7%. What happened in the first six months of FY25 is an incredibly tight fiscal condition; generally in the first six months, the central government incurs about 62% of its full-year fiscal deficit. This year, it incurred only 29%... fiscal tightening is very bad for growth... 33% of 4.9% of GDP, which is the target fiscal deficit for this year, means that 1.6% GDP worth of fiscal consolidation was squeezed into just six months. Almost all of it was unintended...

We expect that as the government catches up and meets its fiscal deficit target for the year, the tailwinds from that should support the economy in FY26.

There was a second driver of the cyclical slowdown, which was the problem with the credit impulse. So, as we have seen, 17% credit growth has now fallen to below 11%. Some of this was intended. The Reserve Bank of India (RBI) was rightly concerned about unsecured personal loans and microfinance

credit formation. We expect that as the year progresses, we should see a steady improvement in the economic momentum and FY26 should be closer to 7% real growth.



Do you see any sector doing well from overall government spending? We've seen capex being one of the key drivers... What is enabling this aggressive intent?

There is no aggressive intent. What we have just seen is that because of the elections, the file move-

and that could become a tailwind for the rest of the economy.



Do you expect a new rate policy? And if so, when?

On the interest rate side, I don't think the RBI's Monetary Policy Committee has much room to manoeuvre. In fact, what we also highlight in our report is that we expect inflation to remain elevated for much of FY26, and therefore the MPC may not be able to cut rates... Food inflation has been surprising steadily

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loans being too high. But in the process, the credit slowdown has become much more broad-based. If credit growth slows from 17% to less than 11%, the economy is bound to slow down. On this as well, we expect that some corrective measures are underway... CRR has been cut. I think the ₹1.16 lakh crore of liquidity that we have been seeing, once you apply the money multiplier as well, it will add ₹5.5 lakh crore to overall liquidity and can support 3-3.5% growth in overall

ment has slowed down. If you recall, elections this year were one month later than usual. So, while in any election year, there is some disruption to government functioning. This year, it was much more delayed. So, the biggest slippage versus normal fiscal spending occurred in May and June. And because this was kind of the pattern of government action was very different. The 1.6% of GDP worth of unintended fiscal consolidation in the first half would be reversed in the second half

on the upside and there are many factors that I think are at play.

The first is that the income transfer schemes that 14 states are running are in total about ₹2 lakh crore a year at an annualised rate and given that they are targeted at the bottom 40% of the population, the impact is the biggest on the demand for food... This already is ₹2 lakh crore, and by the time most of the states are done with it, I think it will be closer to ₹3 lakh crore. So, the impact on low-end wage rates that then feed